

Multiple Choice (10 marks)

1. Which of the following might worsen a nation's trade deficit?
 - (a) Lower wages relative to other nations.
 - (b) Lower taxes on corporate profits relative to other nations.
 - (c) A higher interest rate on financial assets relative to other nations.
 - (d) A higher rate of inflation relative to other nations.
2. Which of the following goods is likely to have the most elastic demand curve?
 - (a) Demand for white Ford minivans
 - (b) Demand for automobiles
 - (c) Demand for Ford automobiles
 - (d) Demand for American-made automobiles
3. Which of the following transactions would be counted in GDP?
 - (a) The cash you receive from babysitting your neighbor's kids
 - (b) The sale of illegal drugs
 - (c) The sale of cucumbers to a pickle manufacturer
 - (d) The sale of a pound of tomatoes at a supermarket
4. Holding all else equal which of the following monetary policies would be used to boost U.S. exports?
 - (a) Increasing the discount rate
 - (b) Increasing the reserve ratio
 - (c) Buying government securities
 - (d) Lowering tariffs
5. If interest rates rise in the United States relative to other nations then
 - (a) the value of the dollar will tend to appreciate.
 - (b) the value of the dollar will tend to depreciate.
 - (c) exchange rates will be affected but not the value of the dollar.
 - (d) the exchange rate will not be affected.

True / False (10 marks)

Answer True or False

6. True or False: Deadweight loss only occurs in perfectly competitive markets when prices are equal to marginal costs.
7. True or False: In capitalist market economies, the government typically owns all land and capital resources.
8. True or False: Higher taxes combined with buying Treasury securities represent a contractionary fiscal and expansionary monetary policy.
9. True or False: An increase of 100 in autonomous private investment would shift aggregate demand to the right by 100.
10. True or False: A kinked demand curve suggests that price is less than marginal cost ($P < MC$).

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how increased investment in capital infrastructure, coupled with reduced consumption of nondurable goods and services, can lead to a faster rate of economic growth in the United States.
12. Discuss how the GDP deflator serves as a measure of changes in the price level of national products, and analyze its significance in understanding economic trends.

End of Paper